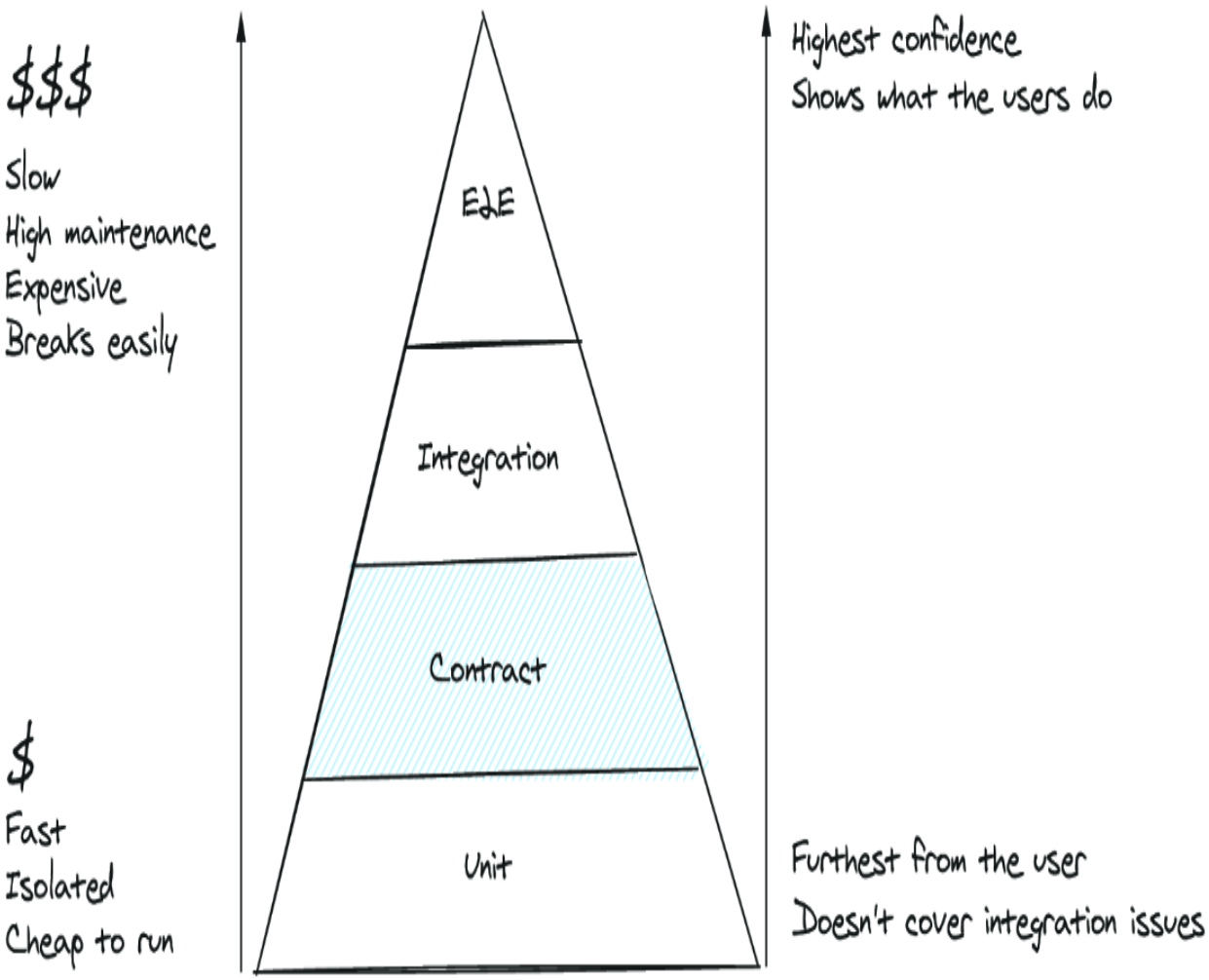



**Figure 2.6 Test automation pyramid with contract testing**

Contract testing provides higher confidence of API implementation than unit testing because it verifies the expectations between two systems, without the requirement of integrated environments. When adopting contract testing to evaluate APIs or microservices, teams can gain early feedback so that any potential misunderstandings or discrepancies between interconnected systems are identified and addressed before deploying them to a specific environment and running integration tests.

Because contract testing can be run earlier on, it prevents communication breakdowns between the consumer and provider services. This proactive approach mitigates the chances of encountering compatibility problems during integration or E2E tests.